2021 ANNUAL REPORT

JPMorgan Chase & Co.

JPMorgan Chase & Co.
Consolidated statements of income

Year ended December 31, (in millions, except per share data)	2021	2020	2019
Revenue			
Investment banking fees	$ 13,216	$ 9,486	$ 7,501
Principal transactions	16,304	18,021	14,018
Lending- and deposit-related fees	7,032	6,511	6,626
Asset management, administration and commissions	21,029	18,177	16,908
Investment securities gains/(losses)	(345)	802	258
Mortgage fees and related income	2,170	3,091	2,036
Card income	5,102	4,435	5,076
Other income[(a)]	4,830	4,865	6,052
Noninterest revenue	69,338	65,388	58,475
Interest income	57,864	64,523	84,040
Interest expense	5,553	9,960	26,795
Net interest income	52,311	54,563	57,245
Total net revenue	121,649	119,951	115,720
Provision for credit losses	(9,256)	17,480	5,585
Noninterest expense			
Compensation expense	38,567	34,988	34,155
Occupancy expense	4,516	4,449	4,322
Technology, communications and equipment expense	9,941	10,338	9,821
Professional and outside services	9,814	8,464	8,533
Marketing	3,036	2,476	3,351
Other expense	5,469	5,941	5,087
Total noninterest expense	71,343	66,656	65,269
Income before income tax expense	59,562	35,815	44,866
Income tax expense[(a)]	11,228	6,684	8,435
Net income	$ 48,334	$ 29,131	$ 36,431
Net income applicable to common stockholders	$ 46,503	$ 27,410	$ 34,642
Net income per common share data			
Basic earnings per share	$ 15.39	$ 8.89	$ 10.75
Diluted earnings per share	15.36	8.88	10.72
Weighted-average basic shares	3,021.5	3,082.4	3,221.5
Weighted-average diluted shares	3,026.6	3,087.4	3,230.4

Effective January 1, 2020, the Firm adopted the CECL accounting guidance. Refer to Note 1 for further information.

(a) Prior-period amounts have been revised to conform with the current presentation. Refer to Note 25 for further information.

The Notes to Consolidated Financial Statements are an integral part of these statements.

JPMorgan Chase & Co.

Consolidated balance sheets

December 31, (in millions, except share data)	2021	2020
Assets		
Cash and due from banks	**$ 26,438**	$ 24,874
Deposits with banks	**714,396**	502,735
Federal funds sold and securities purchased under resale agreements (included **$252,720** and $238,015 at fair value)	**261,698**	296,284
Securities borrowed (included **$81,463** and $52,983 at fair value)	**206,071**	160,635
Trading assets (included assets pledged of **$102,710** and $130,645)	**433,575**	503,126
Available-for-sale securities (amortized cost of **$308,254** and $381,729, net of allowance for credit losses; included assets pledged of **$18,268** and $32,227)	**308,525**	388,178
Held-to-maturity securities, net of allowance for credit losses	**363,707**	201,821
Investment securities, net of allowance for credit losses	**672,232**	589,999
Loans (included **$58,820** and $44,474 at fair value)	**1,077,714**	1,012,853
Allowance for loan losses	**(16,386)**	(28,328)
Loans, net of allowance for loan losses	**1,061,328**	984,525
Accrued interest and accounts receivable	**102,570**	90,503
Premises and equipment	**27,070**	27,109
Goodwill, MSRs and other intangible assets	**56,691**	53,428
Other assets (included **$14,753** and $13,827 at fair value and assets pledged of **$5,298** and $3,739)[(a)]	**181,498**	151,539
Total assets[(b)]	**$ 3,743,567**	$ 3,384,757
Liabilities		
Deposits (included **$11,333** and $14,484 at fair value)	**$ 2,462,303**	$ 2,144,257
Federal funds purchased and securities loaned or sold under repurchase agreements (included **$126,435** and $155,735 at fair value)	**194,340**	215,209
Short-term borrowings (included **$20,015** and $16,893 at fair value)	**53,594**	45,208
Trading liabilities	**164,693**	170,181
Accounts payable and other liabilities (included **$5,651** and $3,476 at fair value)[(a)]	**262,755**	231,285
Beneficial interests issued by consolidated VIEs (included **$12** and $41 at fair value)	**10,750**	17,578
Long-term debt (included **$74,934** and $76,817 at fair value)	**301,005**	281,685
Total liabilities[(b)]	**3,449,440**	3,105,403
Commitments and contingencies (refer to Notes 28, 29 and 30)		
Stockholders' equity		
Preferred stock ($1 par value; authorized 200,000,000 shares: issued **3,483,750** and 3,006,250 shares)	**34,838**	30,063
Common stock ($1 par value; authorized 9,000,000,000 shares; issued **4,104,933,895** shares)	**4,105**	4,105
Additional paid-in capital	**88,415**	88,394
Retained earnings	**272,268**	236,990
Accumulated other comprehensive income	**(84)**	7,986
Treasury stock, at cost (**1,160,784,750** and 1,055,499,435 shares)	**(105,415)**	(88,184)
Total stockholders' equity	**294,127**	279,354
Total liabilities and stockholders' equity	**$ 3,743,567**	$ 3,384,757

(a) Prior-period amounts have been revised to conform with the current presentation. Refer to Note 25 for further information.

(b) The following table presents information on assets and liabilities related to VIEs that are consolidated by the Firm at December 31, 2021 and 2020. The assets of the consolidated VIEs are used to settle the liabilities of those entities. The holders of the beneficial interests do not have recourse to the general credit of JPMorgan Chase. The assets and liabilities in the table below include third-party assets and liabilities of consolidated VIEs and exclude intercompany balances that eliminate in consolidation. Refer to Note 14 for a further discussion.

December 31, (in millions)	2021	2020
Assets		
Trading assets	**$ 2,010**	$ 1,934
Loans	**33,024**	37,619
All other assets	**490**	681
Total assets	**$ 35,524**	$ 40,234
Liabilities		
Beneficial interests issued by consolidated VIEs	**$ 10,750**	$ 17,578
All other liabilities	**245**	233
Total liabilities	**$ 10,995**	$ 17,811

The Notes to Consolidated Financial Statements are an integral part of these statements.

JPMorgan Chase & Co.

Consolidated statements of cash flows

Year ended December 31, (in millions)	2021	2020	2019
Operating activities			
Net income	**$ 48,334**	$ 29,131	$ 36,431
Adjustments to reconcile net income to net cash provided by/(used in) operating activities:			
Provision for credit losses	**(9,256)**	17,480	5,585
Depreciation and amortization	**7,932**	8,614	8,368
Deferred tax (benefit)/expense[(a)]	**3,748**	(3,573)	1,270
Other	**3,274**	1,649	1,996
Originations and purchases of loans held-for-sale	**(347,864)**	(166,504)	(169,289)
Proceeds from sales, securitizations and paydowns of loans held-for-sale	**336,413**	175,490	171,415
Net change in:			
Trading assets	**85,710**	(148,749)	6,551
Securities borrowed	**(45,635)**	(20,734)	(27,631)
Accrued interest and accounts receivable	**(12,401)**	(18,012)	(78)
Other assets[(a)]	**(11,745)**	(42,430)	(17,777)
Trading liabilities	**(23,190)**	77,198	(14,516)
Accounts payable and other liabilities[(a)]	**43,162**	7,415	(466)
Other operating adjustments	**(398)**	3,115	2,233
Net cash provided by/(used in) operating activities	**78,084**	(79,910)	4,092
Investing activities			
Net change in:			
Federal funds sold and securities purchased under resale agreements	**34,473**	(47,115)	72,396
Held-to-maturity securities:			
Proceeds from paydowns and maturities	**50,897**	21,360	3,423
Purchases	**(111,756)**	(12,400)	(13,427)
Available-for-sale securities:			
Proceeds from paydowns and maturities	**50,075**	57,675	52,200
Proceeds from sales	**162,748**	149,758	70,181
Purchases	**(248,785)**	(397,145)	(242,149)
Proceeds from sales and securitizations of loans held-for-investment	**35,845**	23,559	62,095
Other changes in loans, net	**(91,797)**	(50,263)	(51,743)
All other investing activities, net	**(11,044)**	(7,341)	(5,035)
Net cash (used in) investing activities	**(129,344)**	(261,912)	(52,059)
Financing activities			
Net change in:			
Deposits	**293,764**	602,765	101,002
Federal funds purchased and securities loaned or sold under repurchase agreements	**(20,799)**	31,528	1,347
Short-term borrowings	**7,773**	4,438	(28,561)
Beneficial interests issued by consolidated VIEs	**(4,254)**	1,347	4,289
Proceeds from long-term borrowings	**82,409**	78,686	61,085
Payments of long-term borrowings	**(54,932)**	(105,055)	(69,610)
Proceeds from issuance of preferred stock	**7,350**	4,500	5,000
Redemption of preferred stock	**(2,575)**	(1,430)	(4,075)
Treasury stock repurchased	**(18,408)**	(6,517)	(24,001)
Dividends paid	**(12,858)**	(12,690)	(12,343)
All other financing activities, net	**(1,477)**	(927)	(1,146)
Net cash provided by financing activities	**275,993**	596,645	32,987
Effect of exchange rate changes on cash and due from banks and deposits with banks	**(11,508)**	9,155	(182)
Net increase/(decrease) in cash and due from banks and deposits with banks	**213,225**	263,978	(15,162)
Cash and due from banks and deposits with banks at the beginning of the period	**527,609**	263,631	278,793
Cash and due from banks and deposits with banks at the end of the period	**$ 740,834**	$ 527,609	$ 263,631
Cash interest paid	**$ 5,142**	$ 13,077	$ 29,918
Cash income taxes paid, net[(a)]	**18,737**	8,140	6,224

(a) Prior-period amounts have been revised to conform with the current presentation. Refer to Note 25 for further information on revisions to operating activities.

The Notes to Consolidated Financial Statements are an integral part of these statements.

Note 10 – Investment securities

The amortized costs and estimated fair values of the investment securities portfolio were as follows for the dates indicated.

	2021				2020			
December 31, (in millions)	Amortized cost[b][c]	Gross unrealized gains	Gross unrealized losses	Fair value	Amortized cost[b][c]	Gross unrealized gains	Gross unrealized losses	Fair value
Available-for-sale securities								
Mortgage-backed securities:								
U.S. GSEs and government agencies	**$ 72,800**	**$ 736**	**$ 993**	**$ 72,543**	$ 110,979	$ 2,372	$ 50	$ 113,301
Residential:								
U.S.	**2,128**	**38**	**2**	**2,164**	6,246	224	3	6,467
Non-U.S.	**3,882**	**25**	**1**	**3,906**	3,751	20	5	3,766
Commercial	**4,944**	**22**	**17**	**4,949**	2,819	71	34	2,856
Total mortgage-backed securities	**83,754**	**821**	**1,013**	**83,562**	123,795	2,687	92	126,390
U.S. Treasury and government agencies	**178,038**	**668**	**1,243**	**177,463**	199,910	2,141	100	201,951
Obligations of U.S. states and municipalities	**14,890**	**972**	**2**	**15,860**	18,993	1,404	1	20,396
Non-U.S. government debt securities	**16,163**	**92**	**46**	**16,209**	22,587	354	13	22,928
Corporate debt securities	**332**	**8**	**19**	**321**	215	4	3	216
Asset-backed securities:								
Collateralized loan obligations	**9,674**	**6**	**18**	**9,662**	10,055	24	31	10,048
Other	**5,403**	**47**	**2**	**5,448**	6,174	91	16	6,249
Total available-for-sale securities	**308,254**	**2,614**	**2,343**	**308,525**	381,729	6,705	256	388,178
Held-to-maturity securities[a]								
Mortgage-backed securities:								
U.S. GSEs and government agencies	**102,556**	**1,400**	**853**	**103,103**	107,889	2,968	29	110,828
U.S. Residential	**7,316**	**1**	**106**	**7,211**	4,345	8	30	4,323
Commercial	**3,730**	**11**	**54**	**3,687**	2,602	77	–	2,679
Total mortgage-backed securities	**113,602**	**1,412**	**1,013**	**114,001**	114,836	3,053	59	117,830
U.S. Treasury and government agencies	**185,204**	**169**	**2,103**	**183,270**	53,184	50	–	53,234
Obligations of U.S. states and municipalities	**13,985**	**453**	**44**	**14,394**	12,751	519	–	13,270
Asset-backed securities:								
Collateralized loan obligations	**48,869**	**75**	**22**	**48,922**	21,050	90	2	21,138
Other	**2,047**	**1**	**7**	**2,041**	–	–	–	–
Total held-to-maturity securities	**363,707**	**2,110**	**3,189**	**362,628**	201,821	3,712	61	205,472
Total investment securities, net of allowance for credit losses	**$ 671,961**	**$ 4,724**	**$ 5,532**	**$ 671,153**	$ 583,550	$ 10,417	$ 317	$ 593,650